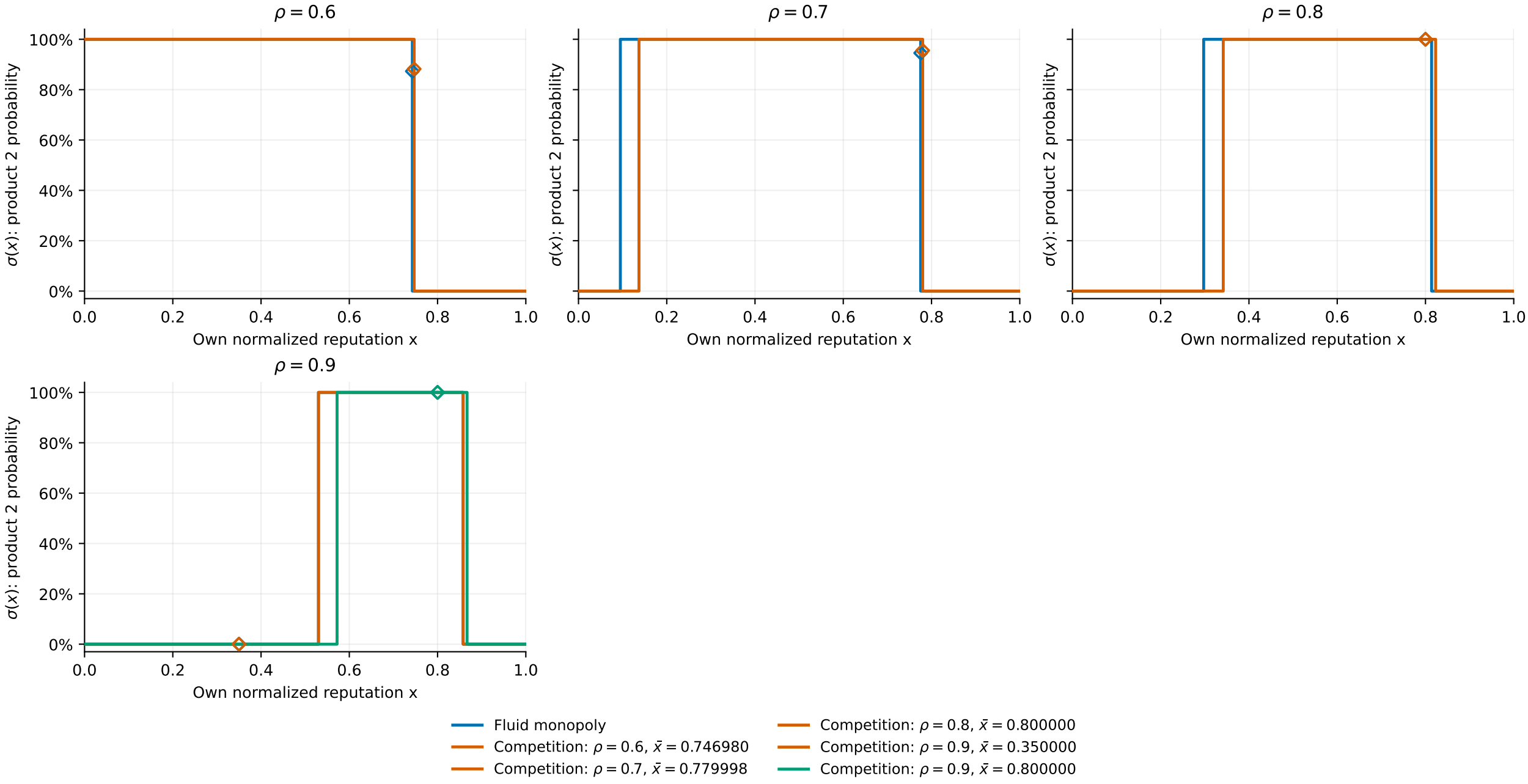
Fluid optimal policies | outside option $p_0 = 0.8$
All verified competition equilibria; diamonds show the stationary product mix.
$\rho = 0.6$
$\rho = 0.7$
$\rho = 0.8$
$\rho = 0.9$
$\sigma(x)$: product 2 probability
Own normalized reputation x
0%
20%
40%
60%
80%
100%
0.0
0.2
0.4
0.6
0.8
1.0
Fluid monopoly
Competition: $\rho = 0.6$, $\bar{x} = 0.746980$
Competition: $\rho = 0.7$, $\bar{x} = 0.779998$
Competition: $\rho = 0.8$, $\bar{x} = 0.800000$
Competition: $\rho = 0.9$, $\bar{x} = 0.350000$
Competition: $\rho = 0.9$, $\bar{x} = 0.800000$